

**BEFORE THE
FEDERAL MARITIME COMMISSION**

ZERO WASTE CHALLENGE, LLC,

Complainant,

vs.

DOCKET No.: 20-08

**WORLDWIDE FREIGHT SERVICES, INC.
d/b/a UNITED AMERICAN LINE,**

Respondent.



VERIFIED COMPLAINT

INTRODUCTION

1. Complainant Zero Waste Challenge, LLC (“ZWC” or “Complainant”), by and through its attorneys at Benesch, Friedlander, Coplan & Aronoff, LLP¹, hereby brings this Verified Complaint against Worldwide Freight Services, Inc., d/b/a United American Line (“UAL” or “Respondent”), in accordance with Section 10(d)(1) of the Shipping Act of 1984, as amended (the “Shipping Act”), 46 U.S.C. Sec. 40101 et seq. and pursuant to the Federal Maritime Commission’s (“FMC”) authority under Section 11(a) of the Shipping Act, 46 U.S.C. Sec. 41301(a), in response to Respondent’s violations of the Shipping Act.

2. Complainant alleges, upon information and belief, the following:

¹ Eric Larson Zalud, one of the attorneys for Complainant, has electronically signed the Complaint and Notice of Appearance. Due to COVID-19, counsel is not able to physically print and ink sign the documents for filing at this time. Counsel will provide an ink signature of the filed documents to the Commission as soon as possible.

NAMED PARTIES AND OTHER ENTITIES

3. Complainant ZWC is a limited liability company organized and existing under the laws of the State of Texas, with a principal place of business at 2101 W. Military Hwy, Unit I-18, McAllen, Texas 78503.

4. ZWC is a “shipper” in relation to Respondent as such term is defined in 46 U.S.C. Sec. 40102(22).

5. ZWC is in the business of shipping used household items from the United States to Pakistan.

6. Worldwide Freight Services, Inc. d/b/a United American Line (“UAL”) is a corporation organized and existing under the laws of the State of New Jersey, with a principal business address of 499 Ernston Road, Parlin, New Jersey 08859.

7. UAL is an ocean freight forwarder (“OFF”) and non-vessel-operating common carrier (“NVOCC”) that provides transport, logistics, and related services to customers in the United States, such as ZWC. UAL is licensed by the FMC as an OFF and NVOCC, *i.e.*, an ocean transportation intermediary (“OTI”), under license number 014974, pursuant to 46 C.F.R. Part 520 of the Federal Maritime Commission Regulations.

8. Mr. Mohammad Tahir is the president and Qualifying Individual for UAL, and maintains a business address at 499 Ernston Road, Parlin, New Jersey 08859. The email address for Mr. Tahir is ualus1@aol.com.

JURISDICTION

9. The FMC has subject matter jurisdiction over this action pursuant to the Shipping Act of 1984, 46 U.S.C. Sec. 40101 *et seq.*

10. The FMC has personal jurisdiction over UAL as an OTI as defined at 46 U.S.C. Sec. 40101.

11. ZWC files this Verified Complaint pursuant to 46 U.S.C. 41301 for injuries caused to ZWC by Respondent as a result of Respondent's violations of the Shipping Act. As more particularly described below, Respondent "failed to establish or observe just and reasonable practices related to the receiving, handling, or delivering of property in violation of 46 U.S.C. Sec. 41102(c).

12. The FMC may award payment for reparations for actual injury caused by a violation of the Shipping Act, pursuant to the filing of a sworn complaint alleging the same and filed within three years of the claim, including an award of attorneys' fees. 46 U.S.C. Secs. 41301, 41305.

MEMORANDUM OF THE FACTS

13. ZWC and UAL have been engaged in an ongoing business relationship for approximately ten years.

14. For the tenure of ZWC and UAL's business relationship, UAL has express released the vast majority of ZWC's containers upon arrival at the destination port in Pakistan, and ZWC has paid UAL for their OTI services on credit terms that averaged six months after the arrival of the container at the destination, consistent with the shippers selling cycle. Importantly, ZWC was paying UAL on these extended credit terms acceptable to both parties and over an extended period of time until in or around early March, 2020, when the financial implications of the COVID-19 crisis became apparent.

15. From 2011 through 2019, ZWC engaged UAL to perform OTI services for a total of approximately \$1.6 million dollars.

16. On or about February 26, 2020, ZWC notified UAL that its containers were not being released on time, unreasonably causing demurrage charges. *See* Exhibit 1, (Email from ZWC to UAL dated February 26, 2020.)

17. Mr. Tahir responded to the February 26, 2020, email that “Not to worry about any releases as long as we are getting payments as per our commitment As you know we have to pay the shipping lines in order to get releases.” [*Sic*] *See Id.* Ex. 1.

18. ZWC continued to make payments in accordance with ZWC and UAL’s course of dealings, but containers continued to be detained and held at port.

19. Despite inquiries, on or about April 7, 2020, Mr. Tahir informed ZWC that UAL would no longer be in a position to answer any more email messages or phone calls, and he demanded that ZWC’s Containers would not be released to the consignee until ZWC made immediate payment. *See* Exhibit 2, page 2. (April 7, 2020 email exchange between UAL and ZWC.) UAL cited the shipping lines’ requirement for wire transfer of payment prior to releasing any containers to the consignee. *Id.*

20. UAL, without notice or consent, unilaterally revoked earlier credit terms and is presently demanding approximately \$400,000.00 in order to release fifty-eight (58) containers (the “Containers”) that UAL has unlawfully held and converted.

21. Upon information and belief, UAL has re-consigned or otherwise sold some of the Containers without notifying ZWC, or obtaining ZWC’s consent.

22. Notably, UAL’s conversion of the Containers is in an apparent attempt to collect freight charges for separate, unrelated *prior* shipments. As, upon information and belief, UAL has already paid its carriers \$300,000.00 for the transportation services related to the Containers.

23. Moreover, the most recent booking confirmations state “All release will be upon full payment of respective invoices.” (As an example, *see* Exhibit 3, March 23, 2020, UAL Booking Confirmation.) This terminology confirms that the intent of ZWC and UAL is that payment is on a container-by-container basis.

24. In apparent justification for UAL’s demand and its breach of the course of dealings between the parties, UAL representatives verbally referenced a statement on its International Bill of Lading found at the bottom of the page which reads “IN ACCEPTING THIS BILL OF LADING, the shipper, consignee and owner of the goods agree to bound [sic] by all of its stipulations, exceptions and conditions whether written, printed or stamped on the front of back hereof of any local custom or privileges to the contrary notwithstanding.” One example of an issued UAL International Bill of Lading is attached as Exhibit 4.

25. However, there are no stipulations, exceptions or conditions written, printed or stamped on the back of any of the Bills of Lading issued by UAL to ZWC.

26. Furthermore, UAL’s customers, including ZWC, could not access any purported stipulations, exceptions or conditions as contained in a written tariff without paying for the privilege of so doing. <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=oti> the FMC’s website that directs reader OTI’s filed tariffs, further guides readers to <http://rates.descartes.com> to obtain UAL’s tariff. Decartes’ website contains an Ocean Rates Retrieval Agreement, attached as Exhibit 5, which requires acceptance of the agreement, and it will not disclose UAL’s tariff without payment.

27. Aside from one reference to a lien in an April 28, 2020, email from UAL’s Pakistani counsel to the Containers’ consignees, and on which a ZWC email account was carbon copied (CC’ed), ZWC has never received notice of a lien, issued in accordance with UAL’s purported

incorporated terms, or otherwise. Significantly, this email was sent following the Pakistani Courts' adverse decisions, and after, upon information and belief, UAL may have already committed, re-consigned, or diverted certain Containers.

28. Furthermore, in response to UAL unjustifiable conversion of ZWC's Containers, the consignees commenced an action in the High Court of Sindh at Karachi, Pakistan that was assigned Suit No. 518/2020 (the "Pakistani Suit").

29. A favorable order was passed in favor of the consignees in the Pakistani Suit on April 23, 2020, requiring UAL to issue appropriate delivery orders and the consignees to deposit the actual freight charges for the shipments by making a deposit with the cashier of Court. See Exhibit 6, Pakistani High Court Decision, and Exhibit 7, Certificate of Submission of Dollar Amount, indicating that the deposit was made.)

30. UAL immediately appealed the High Court's decision. UAL's appeal was denied, and the favorable lower court judgment was upheld on April 27, 2020. *See* Exhibit 8, Pakistani Court Appellate Decision.

31. Despite a favorable ruling from two Pakistani Courts, UAL has failed and refused to abide by the Courts' Orders, necessitating a filing of a further contempt action against UAL in Pakistan.

32. On April 28, 2020, the FMC issued an Interpretive Rule on Demurrage and Detention Under the Shipping Act, which clarifies and interprets 46 C.F.R. Sec. 545.5 relating to unreasonable practices with respect to demurrage and detention (the "Interpretive Rule").

33. The Interpretive Rule reiterates that the purpose of demurrage charges are to incentivize the movement of cargo, and it further states that: The Commission determined that because the purpose of demurrage and detention are to incentivize cargo movement, it will

consider in the reasonableness analysis under § 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity.

34. ZWC has never seen UAL's terms or conditions related to detention and demurrage charges; ZWC has never seen a the terms, if any, purportedly published on the back of the house bill of lading issued by UAL, and UAL does not publish any such terms and conditions on its website.

35. UAL is presently refusing to abide by the Pakistani Suit Court order to release the Containers which will incur increasing demurrage charges, claiming that ZWC must produce original house bills of lading that were never issued to ZWC.

36. UAL's actions in refusing to release the Containers and forcing ZWC to suffer increasing demurrage charges in order to recover freight charges unrelated to the Containers is contrary to the intent and purpose of the demurrage and detention charges regulations and are unreasonable.

37. UAL's failure and ongoing refusal to release the Containers is a violation of the Shipping Act in that it is failing to establish and observe just and reasonable practices related to the receiving, handling, and delivering of property in violation of 46 U.S.C. 41102(c).

38. UAL's failure and ongoing refusal to abide by the decision rendered in the Pakistani Suit is a violation of the Shipping Act in that it is failing to establish and observe just and reasonable practices related to the receiving, handling, and delivering of property in violation of 46 U.S.C. 41102(c).

39. UAL's failure and ongoing refusal to release the cargo and artificially increase demurrage charges is a violation of the Shipping Act in that it is failing to establish and observe

just and reasonable practices related to the receiving, handling, and delivering of property in violation of 46 U.S.C. 41102(c).

40. As a result of these repeated and ongoing violations of 46 U.S.C. 41102(c), ZWC has sustained financial and reputational harm in the United States and Pakistan. For example, ZWC has lost customers because it could not deliver the promised goods which were being held by UAL, and ZWC has been forced to close one of its factories in Pakistan, laying-off 160 workers. Upon information and believe, UAL has misappropriated ZWC's client contact information to sell ZWC shipped cargo to ZWC's competitors.

INJURY SUFFERED BY ZWC

41. ZWC has been actually and materially injured by UAL as alleged above and fully incorporated here as if rewritten, and continues to sustain injuries and damages which accrue daily.

REQUEST FOR RELIEF

WHEREFORE, ZWC respectfully prays for relief from the Federal Maritime Commission as follows:

1. An Order immediately compelling Respondent to release the Containers to the consignees being unlawfully held and converted by Respondent;
2. An Order compelling Respondent to answer the charges made herein and scheduling a hearing in Washington D.C. during which the Commission may receive evidence in this matter;
3. An Order, after due investigation and hearing, finding that Respondent has violated 46 U.S.C. 41102(c), and as may be further demonstrated in this proceeding;
4. An Order compelling Respondent to cease and desist its activities in violation of the Shipping Act, as amended and alleged herein;

5. An Order awarding ZWC damages in an amount to be proven under 46 U.S.C. Sec. 41305, interest under 46 U.S.C. Sec. 41305(a), and reasonable attorneys' fees under 46 U.S.C. Sec. 41305(e); and,

6. Such further relief as the FMC determines to be just and proper.

STATEMENT REGARDING ADR PROCEDURES

The parties have not engaged in mediation or consulted the FMC's Office of Consumer Affairs and Dispute Resolution. Informal dispute resolution procedures were attempted prior to filing this Complaint. The Complainant has not consulted with the Commission Dispute Resolution Specialist about utilizing alternative dispute resolution.

Dated: May 1, 2020

Respectfully Submitted,

/s/ Eric L. Zalud

Eric Larson Zalud
Jonathan R. Todd
BENESCH, FRIEDLANDER, COPLAN
& ARONOFF LLP
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Email: kcapuzzi@beneschlaw.com

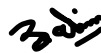
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*Attorneys for Complainant Zero Waste Challenge,
LLC*

VERIFICATION

Mr. Muhammad Saleem states that he is the President of Zero Waste Challenge, LLC, that he has read the foregoing Verified Complaint, and that the facts stated therein he believes to be true on information and belief and upon information received from others. Therefore, I, Muhammad Saleem, declare under penalty of perjury that the foregoing is true and correct.

Dated: April 30, 2020



MUHAMMAD SALEEM

EXHIBIT 1

Re: PAYMENT TO UAL

CLIENT SERVICE <cptmtahir@aol.com>

To: waleed2@zerowastechallenge.biz

Cc: khojim@unitedamericanline.com, tariq@wfl.com.pk

Not to worry about any releases as long as we are getting payments as per our commitment
As you know we have to pay to the shipping lines in order to get releases.

Regards
Capt.M.Tahir

In a message dated 2/26/2020 1:24:12 PM Eastern Standard Time, waleed2@zerowastechallenge.biz writes:

Thank you Captain sb, also if you could please ensure that the releases are done on time, that will save demurrage and time, we current are in demurrage.

We'll continue to send you funds as agreed to ensure you do not face any trouble on that front.

Thank you!

Kind Regards,
Waleed

On Wed, Feb 26, 2020 at 11:02 PM CLIENT SERVICE <cptmtahir@aol.com> wrote:

Thanks Waleed,

This is the best way & its no agrevation straight into our WELLS FARGO account I highly appreciate we will have smooth operation if we continued to deposits in Wells Fargo without involving Karachi office.

Regards
Capt. M. Tahir
United American Line/Worldwide Freight Services, Inc.
499 Ernston Road, B13
Parlin NJ 08859, USA
Tel: 732-727-1700 Ext. 201
Fax: 732-727-1933
Email: ualust1@aol.com

In a message dated 2/26/2020 11:18:30 AM Eastern Standard Time, waleed2@zerowastechallenge.biz writes:

Hi Captain sb,

Attached payment sent to your Wells Fargo account. Please check.

Regards,
Waleed

----- Forwarded message -----

From: Bilal Hunani. <it@zerowastechallenge.biz>

Date: Wed, Feb 26, 2020 at 9:08 PM

Subject: PAYMENT TO UAL

To: Waleed Saleem <waleed2@zerowastechallenge.biz>

Cc: MUhammad Saleem <saleem@zerowastechallenge.biz>, Muhammad Rohail <accounts@zerowastechallenge.biz>

Please find the attached payment slip.

Bilal Hunani
ERP CO-ORDINATOR,
Zero Waste Challenge LLC
6500, St, 23rd Street Unit # 14
McAllen, Texas 78504

Cell: 786-220-0000 (McAllen, TX)
Email: it@zerowastechallenge.biz
Number: (713)-2393-511
Fax: 1866 622 9067

Regards,

Waleed Saleem
Managing Director
Zero Waste Challenge LLC.
6610 Stillwell Street
Houston, TX
77087
Cell: +1-408-859-6164

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Regards,

Waleed Saleem
Managing Director
Zero Waste Challenge LLC.
6610 Stillwell Street
Houston, TX
77087
Cell: +1-408-859-6164

EXHIBIT 2

Payment Schedule

Atif Ahmed <atif@wfl.com.pk>

Tue, Apr 7, 2020 at 10:11 PM

To: MUhammad Saleem <saleem@zerowastechallenge.biz>, CLIENT SERVICE <ualus1@aol.com>

Cc: A1rags@gmail.com, tariq@wfl.com.pk, Waleed Saleem <waleed2@zerowastechallenge.biz>, Irfan UAL <IRFAN@unitedamericanline.com>, khojim@unitedamericanline.com, Abid Hussain <abid@wfl.com.pk>

Dear Mr. Saleem :-

As per final management decision we will release all your containers which are already arrived at Karachi till date against an upfront amount of \$ 150000 in order to pay Freight charges to carrier against these containers as well as recovery of old freight outstanding, regarding rest of your in transit containers I am checking with USA booking office once detail available we will advice you further course of action.

Best Regards

ATIF AHMED

Manager Accounts

Cell # +92-336-2806639

Email: atif@wfl.com.pk

Worldwide Freight & Logistics (PVT) LTD.

As Agent

United American Line (USA)

C-117, B Commercial Area,

D.H.A Phase I, Karachi 75500

TEL : 92-21-35886091 & 93

Web : www.wfl.com.pk

From: MUhammad Saleem [mailto:saleem@zerowastechallenge.biz]

Sent: Tuesday, April 07, 2020 9:23 PM

To: CLIENT SERVICE

Cc: A1rags@gmail.com; tariq@wfl.com.pk; atif@wfl.com.pk; Waleed Saleem; Irfan UAL; khojim@unitedamericanline.com

Subject: Re: Payment Schedule

Atif

As per below email from Captain Tahir , Please let us know details of containers in demurrages and the amount required for release - Also please inform about amount for the containers in transit and not arrived -

Please treat this mail as top urgent -

Regards

Saleem

On Tue, Apr 7, 2020 at 10:33 AM CLIENT SERVICE <ualus1@aol.com> wrote:

Salaam,

We are not in position to answer anymore e.mail messages anymore.

Its a total emergency going on in this area, we are not going to be checking anymore e.mails or answer phone calls.

Secondly our Karachi office will be dealing directly and they will handle.

We have to pay by wire transfers to the shipping line therefore we need payment upfront to get releases.

At the moment we can release Containers reached at port if you effect immediate payment as per the messages from our Karachi office..

Hope everything clearly understood.

Regards

Capt. M. Tahir

United American Line/Worldwide Freight Services, Inc.

499 Ernston Road, B13

Parlin NJ 08859, USA

Tel: 732-727-1700 Ext. 201

Fax: 732-727-1933

Email: ualus1@aol.com

In a message dated 4/6/2020 6:58:36 PM Eastern Standard Time, saleem@zerowastechallenge.biz writes:

Assalam o Alyekum

Irfan bhai ,

Kindly refer to our earlier request followed by our detailed conversation yesterday, we are waiting for the payment schedule for

the release of all 62 containers, enabling us to do financial planning

and allocate funds in this difficult time -

Kindly treat this matter as top urgent to avoid demurrages and detentions -

Meanwhile we are working hard to arrange payments -

Regards

Saleem

Zero Waste Challenge LLC

6500 S 23rd Street , Unit 14 ,

McAllen Tx 78503

Cell :5103640066

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Zero Waste Challenge LLC

6500 S 23rd Street , Unit 14 ,

McAllen Tx 78503

Cell :5103640066

EXHIBIT 3



UNITED AMERICAN LINE

499 Ernston Road, B-13
Parlin, NJ 08859, USA
Voice: 732 727 1700, Fax: 732 727 1933
Email: info@unitedamericanline.com,
Web: www.unitedamericanline.com

03/23/2020

BOOKING CONFIRMATION

SE-23703/20

SHIPPER ZERO WASTE CHALLENGE 4321 GINA STREET, FREMONT, CA 94538 WALEED KARACHI CELL NOS. 92-0334-0226464 / 92-333-2326688 AND 334-0226464 Phone: 510-364-0066 Fax: 510-458-8886 / ALI PIC: WALEED SALEEM		CLIENT ZERO WASTE CHALLENGE CONSIGNEE TO ORDER NOTIFY		CARRIER <u>MAERSK LINE</u> CARRIER BOOKING NO. <u>595904913</u> SALES PERSON CHRIS MARTINI	
VESSEL NAME : MAERSK CHICAGO VOYAGE : 015E EMPTY PICKUP DATE : 04/07/2020 DOOR MOVE ON :			AES CUT OFF DATE : 04/13/2020 11:59 AM CUT OFF DATE : 04/14/2020 EARLIEST RECEIVING DATE : 04/08/2020 VGM CUT OFF DATE : 04/13/2020		
ROUTING					
ORIGIN : LOADING : HOUSTON DISCHARGE : MOMBASA FINAL DESTINATION : MOMBASA			ETD : 04/16/2020 ETA : 06/01/2020 ETA : 06/01/2020		
AS PER YOUR DESCRIPTION					
COMMODITY : USED CLOTHING HAZARDOUS : ☐ YES ☒ NO			No of PKGS : 0.00 CONTAINER(S) : 1 X 40 HQ		
EMPTY CONTAINER PICK UP LOCATION			LOADED CONTAINER RETURN LOCATION		
LOCATION : BAYPORT CONTAINER TERMINAL ADDRESS :			LOCATION : BAYPORT CONTAINER TERMINAL ADDRESS :		

REMARKS

- Please check & ensure that this booking is prepared according to your requirement. In case of any mistake or changes please advise us immediately. We will not be responsible for any mistake otherwise.
- Due to fluctuating & rising fuel oil prices the rates are subject to change if booking rolled/change to another vessel or port.
- All release will be upon full payment of respective invoices.
- In response to the mandatory AES from US census, shipping line will be implanting a NO-DOC/ NO-LOAD policy. Your shipment is subject to EU customs advanced manifest regulation.
- Please note that "this booking confirmation is also subject to the carrier's clauses as mentioned on their booking confirmations.

Thank You for using our service !

EXHIBIT 4



FOR COMBINED TRANSPORT SHIPMENT OR PORT SHIPMENT

SHIPPER/EXPORTER (COMPLETE NAME AND ADDRESS) ZERO WASTE CHALLENGE LLC 6610 STILLWELL ST, HOUSTON, TX 77087 USA		BOOKING NO AYU0385245		BILL OF LADING NO 23191/20/LOS/PQA	
		EXPORT REFERENCES 23191/20			
CONSIGNEE (NOT NEGOTIABLE UNLESS CONSIGNED TO O JADOON BROTHERS ROOM # 9, 1ST FLOOR TWIN STAR CHAMBERS MUMTAZ HASSAN ROAD KARACHI PAKISTAN		FORWARDING AGENT F M C NO			
		POINT AND CONUNTRY OF ORIGIN OF GOODS			
NOTIFY PARTY (COMPLETE NAME & ADDRESS JADOON BROTHERS ROOM # 9, 1ST FLOOR TWIN STAR CHAMBERS MUMTAZ HASSAN ROAD KARACHI PAKISTAN		FOR DELIVERY PLEASE APPLY TO WORLDWIDE FREIGHT AND LOGISTICS (PVT) LTD C-117 B COMMERCIAL AREA DHA PHASE-1 KARACHI, 75500 PAKISTAN TEL: 35886091-93			
PRE-CARRIAGE BY* APL	PLACE OF RECEIPT BY PRE-CARRIER* SALT LAKE CITY, UT				
VESSEL PRESIDENT TRUMAN	VOY NO. 0DB6AW1PL	PORT OF LOADING LOS ANGELES, CA	LOADING PIER/TERMINAL		
PORT OF DISCHARGE PORT QASIM	PLACE OF DELIVERY BY ON CARRIER* KARACHI	TYPE OF MOVE CY,CY/FCL,FCL	CONTAINERIZED YES		

PARTICULARS FURNISHED BY SHIPPER

MRKS & NO/CONTAINER NO	NO OF PKGS	DESCRIPTION OF PACKAGES AND GOODS	GROSS WEIGHT	MEASUREMENT
SEGU4629201 SEAL#3740134	40	1X40 HC CONTAINER SAID BY SHIPPER TO CONTAIN PACKAGES OF OLD & USED SHOES NET WEIGHT 8165 KGS H.S CODE - 6309.000000 DTHC PREPAID AES EXEMPTION NOEEI - 30.37A 14 DAYS FREE TIME AT DESTINATION	8,165 KGS	

These commodities, technology, or software were exported from the united sales in accordance with the Export Administration Regulations. Diversion contrary to U.S. law prohibited.

SHIPPER'S DECLARED VALUE \$					
SUBJECT TO EXTRA FREIGHT AS PER TARIFF AND CLAUSE 6(4)+ (C) OF THIS B/L					
FREIGHT & CHARGES	BASIS	RATE	PREPAID	COLLECT	
FREIGHT COLLECT					
SHIPPER'S LOAD, STOW, WEIGHT AND COUNT					
*RECEIVED in external apparent good order and condition, except as otherwise described herein. the number of packages listed in Carrier's receipt said to contain the goods described in the Particulars Furnished by Shipper (Contents weight and measurement are unknown to Carrier) to be transported to the port of discharge, or to such other place authorized or permitted herein, or so near thereto as the vessel can get, lie and leaves, always in safety and afloat and without delay, and there to be delivered to consignee, or authorized receiver, or on-carrier on payment of all charges due thereon. Carrier shall have right to re-ship.			TOTAL	TOTAL	

*RECEIVED in external apparent good order and condition, except as otherwise described herein, the number of packages listed in Carrier's receipt said to contain the goods described in the Particulars Furnished by Shipper (Contents weight and measurement are unknown to Carrier) to be transported to the port of discharge, or to such other place authorized or permitted herein, or so near thereto as the vessel can get, lie and leaves, always is safely and afloat and without delay, and there to be delivered to consignee, or authorized receiver, or on-carrier on payment of all charges due thereon. Carrier shall have right to carry containers on deck.

IN ACCEPTING THIS BILL OF LADING, the shipper, consignee and owner of the goods agree to bound by all of its stipulations, exceptions and conditions whether written, printed or stamped on the front or back hereof any local customs or privileges to the contrary notwithstanding

IN WITNESS WHEREOF the carrier by its agent has signed

to lading, all of this tenor and date, one of which being accomplished, the others to stand null and void.

DATED 25-February-2020
AT ON

BY As Carrier

EXHIBIT 5

[Back](#)

DESCARTES™ Ocean Rates Tariff Retrieval Agreement

If you agree with the terms of this agreement, you may continue with the registration by pressing the "I accept" button at the end of this agreement.

Descartes Systems Group is the developer and owner of proprietary computer software and a database known by the name Ocean Rates™ which allows for the storage of competitive tariff data in a proprietary database. Customer desires the right to electronically access from Customer's remote locations Descartes' Ocean tariff database from time to time to retrieve competitive tariff data for use by Customer.

1. DEFINITIONS

1.1 "Descartes Ocean Database" means Descartes competitive database of United States and foreign Tariffs and/or other information with respect to certain Conferences and individual steamship lines maintained at a remote, secure Descartes Data Center.

1.2 "Tariffs" means tariffs, memorandum rate sheets/price lists, and service contracts, including all applicable tariff changes which Customer is permitted to access.

1.3 "Effective Date" means the date of Customer's signature of this Agreement.

2. RIGHT OF ACCESS

2.1 Retrieval. Descartes hereby grants to Customer, for the charges set forth in Section 3.2 a non-exclusive, nontransferable, restricted right for individuals to link electronically with the Software and to access and retrieve from the Descartes Ocean Database competitive Tariff information by following the procedures set forth in Section 2.2.

2.2 Access Requirements. Customer will access Ocean Rates via a Customer-provided, internet network connection between the Customer's desktop personal computer or internal network and a link provided on Descartes' website. It is Customer's responsibility to obtain compatible telecommunications / internet software necessary to access the Software. Descartes will provide Customer with a computer ID and password. Descartes does not accept any responsibility for the performance of Internet communications between Customer's desktop PC or internal network and the Descartes Ocean Proprietary database.

2.3 Security. Customer agrees to comply with the rules of operation and security procedures established by Descartes from time to time. Customer agrees not to attempt to gain access or in any way use or modify any data, files, or programs to which it is not specifically entitled under this Agreement. Further, Customer agrees that it is Customer's responsibility to safeguard access to terminals at Customer's locations and Customer will take all steps necessary to prevent unauthorized access of the Software and Database.

2.4 Ownership of Software. Descartes retains all right, title and interest in and to the Software, Documentation, and Database, including to any Fixes and New Versions, and to all copies of the Software and Documentation,

authorized or unauthorized, in whole or in part, and in all intellectual property related to all of the foregoing.

2.5 Trademark. Customer may not use Descartes' trade name or any of Descartes' trademarks, whether or not registered, or any translation or equivalent thereof, in any language, with a product or service, with another trademark, in a corporate title or business name, or in any advertising or other materials, without the written consent of Descartes.

2.6 Additional Terms. Descartes does not accept and objects to any different or additional terms and conditions contained in any purchase order or other writing received from Customer.

3. FEES AND PAYMENT

3.1 Telecommunications. All telecommunications charges related to the connection to the database are the responsibility of Customer.

3.2 Fees. Each Customer billing address will be charged for each minute of connect time per the fees listed below. Fixed monthly minimum fees will be billed in advance for the term of this Agreement and all other Fees and expenses will be billed by Descartes on a monthly basis.

All fees below are inclusive of telecommunication within the United States.

- Option 1 - \$ \$.95 per minute, \$50 monthly minimum
- Option 2 - 6 hours (360 minutes) \$ 250.00 flat fee minimum Each additional minute over 360 \$ 0.95 per minute
- Option 3 - 13 hours (780 minutes) \$ 500.00 flat fee minimum Each additional minute over 780 \$ 0.95 per minute
- Option 4 - Access to Governing Rules for Licensed NVOCC(s) utilizing NRAs and/or NSAs. Cost: \$0.00*

*As required by Part 531.4 and 532.4 of the CFR.

3.3 Invoicing and Payments. Beginning on the Effective Date of this Agreement, Descartes will invoice Customer monthly for all Fees under this Agreement which Customer has incurred. All Fees are due and payable in U.S. dollars, within ten (10) days of the date of Descartes' invoice. If Customer is based outside of the United States, all payments must be made by wire transfer in immediately available funds. Fees do not include costs of postage, shipping and administrative fees or user fees imposed by various regulatory bodies with regard to tariff filing, modem, telecommunications or other communications fees, which costs and fees will be separately billed by Descartes to Customer and which Customer agrees to pay. In addition, Descartes may terminate this Agreement in accordance with Sections 7.2 and 7.3.

3.4 Late Payments. In the event that any payment of any invoice is overdue, Descartes may bill Customer a late payment charge on the unpaid balance at the rate of 1 and 1/2% per month or the highest legal rate, whichever is lower.

3.5 Creditworthiness. Descartes reserves the right to assess Customer's creditworthiness and to modify these payment terms in Descartes' sole discretion based on Customer's credit history.

3.6 Taxes. All Fees are exclusive of and Customer is responsible for (a) all applicable federal, state or local taxes, user fees or other assessments on the sale, license or use of the Software, Documentation, and/or services provided under this Agreement, (b) any access fees charged by any

governmental agency. Customer is not responsible for taxes based upon Descartes' net income, or any gross receipt, capital stock, franchise, net worth or similar taxes imposed upon Descartes.

3.7 Pricing. All prices and Fees set forth in this Agreement, and Exhibits hereto, shall be at Descartes' then current rates. Descartes may increase prices and fees on thirty (30) days written notice to Customer.

4. SUPPORT SERVICES

4.1 Basic Support Services.

(a) Descartes will provide to Customer, through its "Hotline" service, telephone consultation and advise with respect to the use and operation of the Software and the resolution of routine Software-related problems. Descartes will use commercially reasonable efforts to return such calls from Customer during Descartes' normal business hours, 8:00 a.m. to 6:00 p.m. Eastern Time, Monday through Friday.

(b) Basic Support Service that is available through the "Hotline" consists of application support to end-users regarding Customer's access to the Database and use of the Software and limited technical support to resolve routine malfunctions and to make routine resets of Customer's modems.

5. WARRANTY AND REMEDIES

5.1 Limitation on Damages. DESCARTES WILL NOT BE LIABLE TO CUSTOMER FOR ANY LOSSES OR DAMAGES ARISING OUT OF ANY ACT OR OMISSION OF CUSTOMER WITH RESPECT TO CUSTOMER'S USE OF TARIFF INFORMATION. DESCARTES WILL NOT BE LIABLE FOR ANY SPECIAL, INDIRECT, INCIDENTAL OR CONSEQUENTIAL DAMAGES, INCLUDING BUT NOT LIMITED TO LOST PROFITS, LOST BUSINESS OPPORTUNITIES CAUSED DIRECTLY OR INDIRECTLY BY FAILURE OR ERRONEOUS PERFORMANCE OF THE SOFTWARE OR PERFORMANCE OF SERVICES HEREUNDER, WHETHER A CLAIM ARISES OUT OF CONTRACT, WARRANTY OR TORT (INCLUDING WITHOUT LIMITATION NEGLIGENCE AND STRICT LIABILITY).

5.2 Entire Liability. Descartes' entire liability to Customer for any cause whatsoever, whether arising from Software or services is limited to a refund of all Fees Customer has paid under this Agreement for the three (3) month period immediately prior to the date liability accrues.

5.3 Customer Indemnification. Customer indemnifies and holds harmless Descartes, its officers, directors, employees and agents from and against any claims, losses, liabilities or expenses (including reasonable attorney's fees) arising out of injury or damage (including death) to Customer's or Descartes' employees, consultants, agents, other third parties or the property of any of them arising out of Customer's (a) negligence or willful misconduct, or b) infringement of another's patent or copyright or misappropriation of a trade secret, unless such claims, losses or liabilities are solely caused by the negligence of Descartes.

5.4 Disclaimer. DESCARTES MAKES NO WARRANTIES WITH RESPECT TO THE SOFTWARE OR SERVICES PROVIDED HEREUNDER, EXPRESS OR IMPLIED, INCLUDING WITHOUT LIMITATION THE IMPLIED WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE, WARRANTIES ARISING FROM COURSE OF

DEALING OR USAGE OF TRADE AND THE WARRANTY AGAINST NONINFRINGEMENT.

6. LIMITATION OF LIABILITY

6.1 Indemnification. Customer agrees to indemnify and hold harmless Descartes, its officers, directors and employees, from any and all liabilities, losses or damages, including reasonable attorney's fees, incurred by Descartes as a result of claims, demands, lawsuits, or judgments arising from or in connection with this Agreement, unless Descartes is negligent, reckless or engages in willful misconduct in its performance of this Agreement or if such Descartes liabilities, losses or damages result from a material breach of this Agreement by Descartes.

7. TERM AND TERMINATION

7.1 Term. This Agreement shall be effective for a period of one (1) year from the Effective Date shown on page one (1), with a minimum ninety (90) day commitment. Each party must give ninety (90) days written notice to the other prior to the expiration of a term of its election not to renew. If no such notice is given, this Agreement will automatically renew for additional terms of one (1) year at Descartes' then-current prices and fees for service. Either party may terminate this Agreement at any time with sixty (60) days prior written notice.

7.2 Termination. Descartes may terminate this Agreement immediately upon written notice to Customer (a) if Customer fails to pay any invoice when due or (b) in the event of transfer of a substantial portion of Customer's assets or control of its business by sale, reorganization, or merger. Either party may terminate this Agreement immediately upon written notice to the other (i) if the other party materially breaches any other obligation under this Agreement and has failed to cure such breach to the other's satisfaction within thirty (30) days of receipt of notice of the breach, or (ii) in the event of bankruptcy, insolvency, dissolution or receivership proceedings filed by or against the other party.

7.3 Re-Connect Fee. Rather than terminating this Agreement in the event Customer fails to pay any invoice when due, Descartes may, after notice to Customer, suspend services to Customer until Customer's account is made current. If Descartes terminates this Agreement or suspends services and Customer later requests reinstatement of services, Customer will be required to reinstate the existing Ocean Rates Tariff Retrieval Agreement, or enter into a new Ocean Rates Tariff Retrieval Agreement with Descartes. In addition, Customer will be required to pay any and all past due amounts and a Re-Connect Fee equal to the greater of 2.5% of all past due amounts or \$25.00.

7.4 Survival of Obligations. All obligations of Customer to pay all amounts still due and owing to Descartes will survive the termination of this Agreement for any reason.

8. MISCELLANEOUS

8.1 Justifiable Delays. Descartes shall be excused from performance or delays under this Agreement to the extent such performance is prevented or delay is due to causes beyond the control of Descartes, including without limitation acts of God, strikes, or other labor disputes, wars, governmental restrictions, failure of transportation, failure of utilities or telecommunications transmission lines or service, and failure of equipment.

In such event Descartes' time for performance shall be extended by the extent of any such delay or where practical shall be excused.

8.2 No Third Party Beneficiaries. No customer, agent, authorized employee, or affiliate of Customer, is or will be deemed a third party beneficiary under this Agreement.

8.3 Severability. If any provision of this Agreement is determined to be unlawful and can be deleted without altering the essence of the Agreement, the unlawful provision will be severed and the remaining provisions will remain in effect.

8.4 Waiver. The failure by any party at any time to enforce its rights under this Agreement will not be construed as a waiver of such rights, nor will it in any way affect the validity of this Agreement. No waiver by any party will be valid unless given in an appropriate writing signed by that party.

8.5 Governing Law. This Agreement will be governed and construed in accordance with the substantive laws of the Commonwealth of Pennsylvania without regard to its conflict of laws provisions and excluding the United Nations Convention for the International Sale of Goods. This Agreement will be deemed to have been entered into in Pennsylvania. The parties agree that this Agreement primarily involves the sale of services and that the provisions of the Uniform Commercial Code shall not apply.

8.6 Jurisdiction and Venue. Customer agrees that any legal actions concerning this Agreement will be brought only in the U.S. District Court for the Western District of Pennsylvania or the Commonwealth of Pennsylvania courts in the County of Allegheny. Each party hereby consents to the jurisdiction of such courts and to venue therein.

8.7 Modification and Assignment. This Agreement may not be modified except by an instrument in writing signed by both parties. This Agreement may not be assigned by Customer without the written consent of Descartes. Any attempted assignment by Customer without consent will be void and of no effect.

8.8 Headings. The headings in this Agreement in no way define, limit, expand or interpret the scope of this Agreement or of any provision hereof.

8.9 Independent Contractors. Both parties are independent contractors with respect to all matter arising out of this Agreement. For purposes of this Agreement, neither of the parties will be considered an employee, agent or joint venturer of the other.

8.10 Integration. This Agreement, together with any Exhibits and/or attachments referenced herein, constitutes the entire and exclusive agreement between Descartes and Customer relating to the subject matter hereof and supersedes all prior written or oral agreements, representations, or communications between the parties relating to the subject matter of this Agreement. All Exhibits attached to this Agreement are incorporated by reference as if fully set forth herein.

8.11 Limitation of Actions. All claims against Descartes must be brought within one (1) year after the cause of action arises and Customer waives any statute of limitations which might apply by operation of law or otherwise.

You must agree to these terms to fill out the registration form.

EXHIBIT 6

Presented on 20/4/2020

ADDL REGISTRAR (OS)

IN THE HIGH COURT OF SINDH AT KARACHI

(ORIGINAL CIVIL JURISDICTION)

SUIT NO. 518 OF 2020

21.09.25-AM

(640)

1. **AMERICAN RAGS (PVT) LTD**
a company incorporated under
the Companies Ordinance, 1984,
having its registered office at
Plots No.2, 3, 4, 9, 10 & 11, Sector D-1,
Karachi Export Processing Zone,
Karachi, through its Senior Accountant,
Mr. Javed Iqbal.
2. **IDEAS RECYCLING (PVT) LTD**
a company incorporated under
the Companies Ordinance, 1984,
having its registered office at
Plots No.1 & 8, Sector A-5,
Karachi Export Processing Zone,
Karachi, through its Senior Accountant,
Mr. Javed Iqbal.....PLAINTIFFS

VERSUS

1. **United American Lines,**
499 Ernston Road, B-13,
Parlin NJ 08859, U.S.A. through its
Agent, Worldwide Freight and Logistics (Pvt) Ltd.,
C-117, B Commercial Area, Phase I,
Defence Housing Authority, Karachi.
2. **Worldwide Freight and Logistics (Pvt) Ltd.,**
C-117, B Commercial Area, Phase I,
Defence Housing Authority,
Karachi.
- Zero Waste Challenge LLC.**
6500 S 23rd Street, Unit # 14
McAllen, Texas 78504,
U.S.A.....DEFENDANTS



SUIT FOR DECLARATION, PERPETUAL
INJUNCTION AND DAMAGES.

Respectfully Sheweth:

ORDER SHEET
IN THE HIGH COURT OF SINDH AT KARACHI
SUIT No. 518 / 2020

DATE

ORDER WITH SIGNATURE OF JUDGE

For hearing of CMA No. 4300/2020.

23.04.2020.

Mr. Abdul Ghaffar Khan Advocate for Plaintiffs.
Mr. Abdul Latif Chandio Advocate for Defendants No. 1 & 2.
Mr. Imran Iqbal Khan Advocate for Defendant No. 3.

Pursuant to issuance of notice, Vakalatnama of Mr. Abdul Latif Chandio has been filed on behalf of Defendants No.1 & 2, whereas, Mr. Imran Iqbal Khan undertakes to file Vakalatnama on behalf of Defendant No. 3. They both request for time to file counter affidavit; however, Counsel for Plaintiffs pleads urgency on the ground that consignments covered by this Suit are withheld for want of issuance of delivery orders by Defendants No.1 & 2 on the ground that freight charges of the Bills of Lading in question have not been paid. He submits that the Bills of Lading issued to the Plaintiffs have an endorsement that freight stands prepaid; however, without prejudice, the Plaintiffs, to seek clearance of consignment and to avoid delay and accrual of demurrage and other charges on recurring basis, are willing to deposit / secure the amount involved in this Suit with the Nazir of this Court. Though Counsel for Defendants No.1 & 2 has opposed such proposal; however, I am of the view that in the given situation due to pandemic (COVID-19), as an interim arrangement and without prejudice to the rights of the parties the proposal seems to be fair and in line with requirements of an ad-interim order.

Accordingly, the Plaintiffs are directed to deposit / secure the disputed amount of freight (US\$ 39,935/-) in respect of the containers arrived at port and lying withheld for clearance as per Annexure "A" with the Nazir of this Court. Once it is done, Nazir to issue an appropriate certificate to that effect and on presentation of the same the Defendants No.1 & 2 shall issue appropriate delivery order(s).

Counter Affidavits be filed before the next date with advance copies to the Plaintiffs' Counsel. To come up on 14.05.2020.



St. Muhammad Junaid Ghaffar
Judon

EXHIBIT 7

THE HIGH COURT OF SINDH, KARACHI.

Suit No. 518 of 2020

American Rags (Pvt) LTD & another.....Plaintiffs

Versus

United Americans Lines & Others.....Defendants

To,

United Americans Lines,

C-117, B Commercial Area, Phase 1,

Defence Housing Authority,

Karachi.

Worldwide Freight and logistics (Pvt) Ltd,

C-117, B Commercial Area, Phase 1,

Defence Housing Authority,

Karachi.

SUBJECT: CERTIFICATE OF SUBMISSION OF DOLLAR AMOUNT

In compliance of Hon'ble High Court's Order dated 23.04.2020, the **Plaintiffs** in the instant matter, have deposited the US dollar in cash amount **\$39,935 (Dollar thirty nine thousand nine hundred and thirty five)**, against disputed amount of freight, as per Annexure "A" filed in case file at page no.23 (copy enclosed).

The certificate is hereby issued, in compliance of Hon'ble Court's Order as mentioned above.



NAZIR
23/4/20

High Court of Sindh
Karachi

Dated: 23.04.2020

EXHIBIT 8

ORDER SHEET
IN THE HIGH COURT OF SINDH, KARACHI
High Court Appeal No.98 of 2020

Date	Order with signature of Judge
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Fresh Case:

1. For order on CMA No.862/2020 (Urgent)
2. For order on CMA No.863/2020 (Exemption)
3. For hearing of main case.
4. For order on CMA No.864/2020 (Stay)

27.04.2020.

Mr. Abdul Latif Chandio, Advocate for the appellants.

1. Urgency granted.

2-4. This High Court Appeal (HCA) has been filed impugning the order dated 23.04.2020 passed by the learned Single Judge in Suit No.518 of 2020.

Mr. Abdul Latif Chandio Advocate has appeared on behalf of the appellants and submits that the appellants were not given opportunity of hearing by the learned Single Judge while hearing the matter. He next submitted that the present appellants also have some claim over the present respondents. He in the end submitted that the appellants apprehend that if they did not comply with the order passed by the learned Single Judge dated 23.04.2020 they would have to suffer the rigors of contempt of Court proceedings.

The learned counsel has been heard and record has been perused.

The contentions raised by the learned counsel on the very face of it appear to be wholly misconceived and not maintainable. It is very much evident from the order passed by the learned Single Judge that the appellants' counsel was given chance to make his submissions and his

opposition has duly been recorded by the learned Single Judge, which clearly denotes that opportunity of hearing has duly been provided by the learned Single Judge to him. So far as the aspect regarding some claim of the appellants against the respondents is concerned, firstly the same does not seem to be the subject matter of Suit No.518 of 2020 and secondly if the appellants have some claim against the respondents, they are at liberty to do the needful in accordance with law. Insofar as the contention of the learned counsel that if the appellants do not comply with the order, they have to face the consequences of contempt the same appears to be totally fallacious, as it is a settled proposition of law that if anybody fails to comply with the orders passed by the Court, he has to face the consequences of contempt of Court proceedings.

In view of the above discussion, this HCA is found to be wholly misconceived and not maintainable and hence the same stands dismissed in limine, alongwith listed applications.